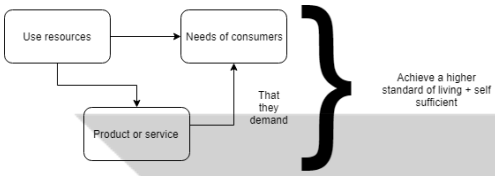
1. Enterprise

1.1. Purpose of Business Activity

- Businesses aim to add value to raw materials and semi-finished goods in order to satisfy needs and wants of consumers.
- This helps raise living standards of the economy as businesses will employ people for production.



1.2. Factors of Production

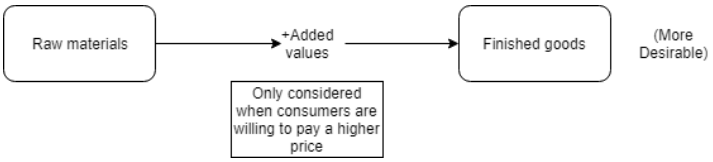
1. **Land** - all natural resources (minerals) used in production
   - Return for land is "rent"
2. **Labour** - both manual and skilled work
   - Return for labour is "salary" or "wages."
3. **Capital** - finance is needed to set up and run the business, as well as man-made goods used in production, e.g., capital goods like machinery.
   - Return for capital is "interest"
4. **Enterprise** - the driving force that arranges all other factors of production and takes the risk of the new business venture
   - Return for enterprise is "profit"

1.3. Added Value

- Added value = selling price - cost price
- Added value is not the same as profit
- Business is successful if the consumer is willing to pay more than the cost of materials.

How to increase added value

1. Increase selling price by providing higher-quality goods (higher-quality raw materials), increasing advertising, changing packaging, or making small improvements in the product.
2. Decrease cost price by reducing wastage through lean production methods, finding cheap supplies, reducing product quality, and increasing efficiency by training workers and using advanced technology.



1.4. Economic Activity

- There are insufficient goods to satisfy all of our needs, so we must choose which needs to satisfy now.

Opportunity Cost

- The benefit of the next most desired option, which is given up.
- If we decide to choose one option, the opportunity cost is the one we didn't choose.

1.5. Dynamic Business Environment

- The business environment is always rapidly changing (dynamic)
- Changes can make original ideas less successful.

Shift in Business Environment

- New entrants to the market the business operates in.
- Modification of legal formalities and rules.
- Economic shift.
- Technological advancement.

1.6. How Can Businesses Succeed?

- Having a solid understanding of customer needs.
- Efficient management of operations.
- Flexibility in decision-making.
- Clean and sufficient source to finance.

1.7. Why do New Businesses Fail?

- Lack of record-keeping
- Lack of cash and working capital:
  - Working capital is the capital needed to run the day-to-day business
  - Ways to avoid working capital shortage:
    - Make a cash flow forecast
    - Inject more capital into the business
    - Establish good relations with the bank
    - Use effective credit control with customers
- Poor management skills:
  - Essential skills to avoid management problems:
    - Leadership skills
    - Cash handling and cash management skills
    - Planning and coordinating skills
    - Decision-making skills
    - Communication skills
    - Marketing, promotion, and selling skills

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- Changes in the business environment:
  - A few changes include:
    - New competitors
    - Legal changes
    - Economic changes
    - Technological changes

Why do many businesses fail in the early stages?

- Internal problems –
  - Weak business idea
  - Lack of managerial skills
  - Lack of suitable employees
  - Lack of sufficient finance
  - Lack of entrepreneurial skills
  - Poor initial research
  - Over-ambitious ideas
  - Poor decisions
  - Poor cashflow management
- External problems –
  - Anticipated customers did not materialize
  - Changes in business environment affected customer's spending patterns
  - Unexpected competition

1.8. Local, National and Multinational

- Local: Provides goods and services to the local population.
- National: Provides goods and services to the domestic market.
- International: Provides goods and services to more than one country.
- Multinational: Have operations in more than one country.

1.9. Characteristics

Intrapreneurs	Entrepreneurs
Passionate	Innovative
Determined	Committed and self-motivated
Resourceful	Multi-skilled
Think like entrepreneurs	Leadership skills
Independent and proactive	Self confidence
Innovative	Ability to bounce back

1.10. Roles

Intrapreneurship	Entrepreneurship
Take direct responsibility and risk for the ongoing success of a business.	Generate ideas for a new business.
Develop innovative ideas for projects.	Invest own savings and capital
	Accept responsibility
	Accepted possible risks

1.11. Challenges Faced by Entrepreneurs

- Identifying successful business opportunities:
  - Entrepreneurs need to find markets that have enough demand to be profitable
  - People get their ideas from:
    - Own skills
    - Previous Employment
    - Small-budget market research
- Sourcing finance:
  - Entrepreneurs face financial issues due to:
    - Lack of own finance
    - Lack of awareness of grants and subsidies
    - Lack of trading records to receive loans from a bank
    - A poor business plan
- ~~Determining a location:~~
  - An entrepreneur will have to decide on the best location, considering costs, potential target market, the status of the area, etc.
- Competition
- Building a customer base:
  - For a firm to survive, it must build customer loyalty and brand image.
  - ~~Businesses can do this by:~~
    - Offering pre and after-sales services
    - Providing discounts and other sales promotions
    - Providing goods that meet specific needs (which a large firm will be reluctant to do)

1.12. Types of Entrepreneurial Businesses

1. Primary sector – extracting materials like fishing and coal mining
2. Secondary sector – manufacturing sector like craft manufacturing
3. Tertiary sector – service sector like hairdressing
4. Quaternary Sector – knowledge based services like financial consultancy

1.13. Impact of enterprise on an economy

- Employment creation

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- Economic growth
- Firm's survival and growth
- Innovation and technological change
- Exports
- Personal development
- Increased social cohesion

1.14. Difference Between Entrepreneur and Intrapreneur:

Entrepreneur:

Purpose:

- Setting up and starting a new business.

Potential risk?

- The liability falls upon the entrepreneur.

Possible reward?

- It goes to the entrepreneur in form of profit.

Intrapreneur:

Purpose:

- Coming up with an idea for an innovate product or project and executing it within the existing business.

Potential risk?

- The liability falls upon the business in form of damaged reputation, loss of investment etc.

Possible reward?

- It goes to the business and intrapreneur in form of profit, sales or diversification and potential promotion or wage raise respectively.

1.15. Benefits of Intrapreneur:

- Inject creativity and innovation to boost sales and improve product offerings.
- Develop new business methods to solve problems and enhance efficiency.
- Drive innovation and excitement to make change more acceptable.
- Create a competitive edge with innovative products.
- Encourage original thinkers to stay and innovate within the company.

1.16. Business Risk:

It refers to potential events or decisions that can affect a company's profitability and are often measurable or predictable. It includes competition, operational challenges, or regulatory changes.

Business Uncertainty:

It involves unpredictable and uncontrollable events that can impact the business but are not measurable, such as natural disasters or sudden economic crises. E.g. COVID-19 pandemic, 2008 market crash.

1.17. Business Plans

Meaning: document of the business objectives and how they will achieve them

Purpose: used to create a strategy, manage finance, attract investors

Advantages	Disadvantages
Can allocate resources	Can be inaccurate
Future planning	Can be time-consuming
Attract investors	Changing business environment makes it flawed

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